

The Hawks Contract

Private Information for Hawks management

You manage the Philadelphia Hawks, a perennial contender in the Women's National Basketball Association (WNBA). It is the 2030 offseason. In the years since the league's landmark 2026 collective bargaining agreement, star salaries have climbed into the multi-million-dollar range, and competition for marquee players has intensified accordingly. Your present center, Cindy Hooper, is winding down her career. You are confident you could sign Hooper for next year for \$2 million. Recently, however, you learned that Angel Rocket might be available. Rocket is the star center for the otherwise middle-of-the-pack Kansas City Tornado. The three-year veteran is presently deliberating on whether to pick up her option to return to the Tornado next year.

You phoned Rocket and her agent to see if there was any interest. As an enticement, you mentioned, as a "possibility," a \$2.5 million salary, but you would have to sit down and discuss it further. They agreed to a meeting at Hawk's headquarters. While you think the Hawks would be competitive with Rocket aboard, the chances of going all the way to the championship next year are modest, about 10%. The benefits from signing Rocket come from increased merchandizing (Angel Rocket t-shirts, etc.). You estimate Hawks merchandising profits would be about \$12 million if the Hawks win a championship and \$2 million if they do not win a championship. [The expected value of the merchandising is $0.9 \times 2 + 0.1 \times 12 = \3 million. Absent signing Angel, the estimated expected merchandising would be \$2 million.]

As with every club, your dealings are governed by the salary-cap rules of the collective bargaining agreement: all compensation to a player must be contained in her standard player contract, and side arrangements — for example, endorsement deals quietly arranged or funded by a team or its sponsors — constitute cap circumvention. The league office, sensitized by recent high-profile investigations elsewhere in professional basketball, has signaled that violations will be treated harshly.

The above is private information and is not to be shown to either Angel Rocket or her Agent.

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation. The teams, players, and events depicted are fictional; references to the league's 2026 collective bargaining agreement reflect its publicly reported terms.